

September 2026

NAB Monthly Business Survey

-13 Index points

Business Confidence

Fell 4pts (unrounded) to -13 index points, below its long-run average of 4 index points.

-1 Index points

Business Conditions

Was flat in September at -1 index points, below its long-run average of 7 index points.

Summary

Business confidence fell further in September and is now 18pts below its long-run average, and 22pts lower than a year ago – reflecting both global uncertainty and domestic challenges. Business conditions were broadly unchanged in the month, though the employment index declined to its lowest level in five years, offsetting small rebounds in profitability and trading conditions, both of which remain well below average levels. Costs and price growth were largely unchanged, but purchase costs remain well above their long-run average and continue to outpace final prices growth. Overall, the survey remains consistent with some modest further slowing in growth in Q3 and highlights risks that labour demand will slow a little from here. However, despite pointing to a slower pace of growth through 2026 to date, capacity utilisation remains above average in 5 out of 8 industries, suggesting some breadth to capacity pressures. Costs growth remains elevated, continuing to highlight the risk of further pass through to final product prices. The combination of weak confidence, cost pressures, above average capacity utilisation and softer profitability is unusual and may suggest a further softening in activity in the final quarter of 2026.

Monthly Moves

−3pts

Employment

To **-1** index points

+1pt

Trading

To **4** index points

+3pts

Profitability

To **-5** index points

−0.1ppt

Labour costs

To **1.7%** at quarterly rate

+0.1ppt

Purchase costs

To **2.4%** at quarterly rate

0ppt

Product prices

To **0.8%** at quarterly rate

−0.2ppts

Capacity utilisation

To **82.3%**

−1pts

Forward orders

To **-1** index points

Monthly levels by state (trend, index points)

